

Affordability concerns shape CEE's energy transition

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【メール原文】

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Central and Eastern European (CEE) governments will maintain a steady pace of decarbonization while expanding subsidies, capacity payments, and targeted fossil fuel support to help defray the costs for households and industry.

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Rather than push to dismantle climate frameworks, the revived Visegrad group will seek stable carbon prices and compensation for industry in the negotiations over the EU Emissions Trading System's second phase (ETS2) and the EU budget.

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New LNG capacity will bolster CEE's energy security, and nuclear agreements will deepen strategic partnerships, while coal dependence and grid bottlenecks will keep industrial power prices elevated well into the 2030s.

Energy transition policies will prioritize affordability over the speed of decarbonization. Central and eastern European governments will maintain their current pace of decarbonization and keep reducing their reliance on Russian energy. At the same time, they will expand revenue guarantees, industrial subsidies, and targeted fossil fuel support, framing these measures as necessary for security and competitiveness while mitigating the costs for households and manufacturers. EU policy already accommodates that approach.

Affordability will unite governments that otherwise disagree on energy policy. The revived Visegrad group gives Poland, Czechia, Hungary, and Slovakia a platform to coordinate on carbon price relief and industrial competitiveness, notably in talks over the European Commission's July 2026 proposed revision of the ETS2 and the EU's 2028-2034 budget. These countries will push for greater industrial compensation and tighter carbon price limits rather than seek to dismantle the system. ETS2's planned 2028 launch for buildings and road transport will remain contentious, prompting calls for another delay. Brussels is more likely to soften implementation than abandon its climate framework, leaving coal exposed despite temporary relief (see: Energy and Environment Outlook: Poland , 12 March 2026).

Reliance on Russian gas will decrease, but a total cutoff of Russian energy will remain contested. The EU's binding phaseout, covering Russian LNG imports from January 2027 and pipeline gas from autumn 2027, makes any broad return of Russian supplies unlikely, even in the event of a ceasefire in Ukraine.

Hungary's Prime Minister Peter Magyar will probably maintain more constructive ties with Brussels than his predecessor, Viktor Orban. Still, his pledge to end Russian energy dependence by 2035 does not imply a near-term cutoff. That dependence will persist mainly in oil and nuclear fuel, though even here the aim is to diversify, with an expansion of the Russian-designed Paks nuclear site under review. Hungary- and Russia-friendly Slovakia will be more likely to negotiate compensation in exchange for following EU rules than to obtain exemptions from them. Expanded LNG capacity, especially in Poland, will strengthen the position of US suppliers as an alternative to Russian gas, though the 2026 Gulf crisis demonstrated that LNG supply chains carry their own vulnerability to geopolitical shocks.

Romania and Bulgaria will emerge as regional energy suppliers. The planned 2027 start of Romania's Neptun Deep offshore gas project will strengthen Bucharest's position as an energy exporter, and the expansion of the Southern Gas Corridor linking the Caspian region to Europe would add supply. The Vertical Gas Corridor will continue to move gas arriving in Greece northward through Bulgaria (from October) and Romania, though a corridor-wide designation as an Important Project of Common European Interest is unlikely under current criteria.

Moreover, EU funding is alleviating financing constraints for Romanian and Bulgarian renewables and battery storage projects. Romania's first two contracts-for-difference auctions awarded 4.2 gigawatts of renewables capacity, while Bulgaria's RESTORE program allocated over 14 gigawatt-hours over two 2025 rounds (both utilizing EU funding). Battery storage now accounts for nearly 23% of Bulgaria's installed power capacity, a higher share than in California or China. This buildout should curb curtailment and price spikes even as it squeezes trading margins and complicates financing for follow-on projects.

Domestic politics will continue to shape which power sources governments develop and preserve. In Poland, President Karol Nawrocki vetoed the liberalization of onshore wind but approved offshore wind legislation. Poland's US-backed nuclear program and Czechia's South Korean reactor contract will strengthen ties with the US and South Korea, respectively, though major new units are not due until the mid-to-late 2030s. Governments will also pay subsidies to keep selected thermal plants online until replacement capacity arrives, delaying declines in system costs (see: Wholesale electricity costs will fall sharply before 2030 , 9 July 2026). Meanwhile, Hungary's proposed battery watchdog and higher pollution penalties show that the economic appeal of Chinese and South Korean investment will no longer automatically outweigh domestic environmental concerns (see: Hungary: Magyar's cautious economic reset could advance the EU's China de-risking , 13 July 2026)

Grid capacity and access to EU financing will increasingly determine industrial competitiveness. As recovery fund support fades, talks over the 2028-2034 budget will become critical for investment in grid upgrades, efficiency, storage, and defense infrastructure. Most CEE governments will fight to preserve cohesion funding and push for security-related infrastructure spending. Grid overhauls in the planned EU Grids Package will speed modernization if implementation is adequate. Baltic countries and those bordering Ukraine will prioritize interconnections and grid resilience, though deeper integration with Ukraine carries security risks as long as the war continues. In the western Balkans, the EU's Carbon Border Adjustment Mechanism will push countries to implement carbon pricing and market reform. Countries offering reliable, competitive, low-carbon electricity will gain the most durable industrial advantages.

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